



⌚ Time: 5 minutes

⌚ Outcome: Analyze repeated games, credible commitments, entry deterrence, and sequential strategic choices.

⌚ Difficulty: Advanced

Dynamic Strategy: Repeated Games, Credibility & Entry Deterrence



THE CORE IDEA

In a sequential game, one player acts before another. Work backward from the last decision: identify the action that the later player will actually prefer, then use that response to evaluate the first move. A threat is credible only if carrying it out would be worthwhile when the decision arrives. Repeated interaction can make future consequences matter, but no present-value calculation is needed here.



HOW TO RECOGNIZE IT

- Determine whether firms interact once or expect to meet again.
- Compare the immediate gain from cheating or entering with future losses from retaliation.
- A threat affects behavior only when carrying it out would be credible.
- Longer relationships, patience, and observable actions make cooperative outcomes easier to sustain.



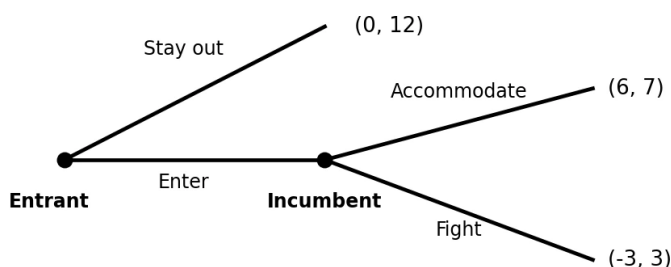
WATCH OUT

A threatened response is not automatically credible. Compare the later player's payoffs at the decision point before using the threat to predict the first move.



WORKED EXAMPLE: TESTING A CREDIBLE THREAT

Payoff order: (Entrant, Incumbent)



The game tree is solved backward. If entry occurs, the incumbent receives 7 by accommodating and 3 by fighting, so accommodation is the credible response on that branch. Anticipating it, the entrant compares 6 from entering with 0 from staying out and enters. The backward-induction outcome is Enter, then Accommodate.



CHECK YOURSELF

After entry, why will the incumbent accommodate rather than fight, and how does that affect the entrant's first decision?



READY?

Return to the game and master this concept.